

COMPLIANCE AND ADMINISTRATIVE REPORTS OVERVIEW AND DESCRIPTIONS

July 1, 2025 - June 30, 2026

DEERFIELD BEHAVIORAL HEALTH OF WARREN LLC 403(B) PLAN
800643

Compliance Reports

NONDISCRIMINATION IN AMOUNTS TESTS (ACP)

The Actual Contribution Percentage (ACP) test determines if there is discrimination when employer matching contributions and/or employee voluntary after-tax contributions are made for both the Highly and the Nonhighly Compensated employees.

EXCESS DEFERRAL CONTRIBUTIONS

The Code Section 402(g) maximum employee deferral contribution for the 2025 *calendar year* was \$23,500. This limit is \$24,500 for the 2026 *calendar year*. Please monitor employee deferrals during the payroll process to make sure that no participant exceeds this limit. Any excess deferred contribution plus credited investment earnings must be refunded by the April 15th following the calendar year in which the excess occurred. Failure to do so could adversely affect the tax status of your plan. If an employee has participated in your plan and the 401(k) plan of an unrelated employer during the calendar year, then the employee is responsible for notifying one of the plans of any 402(g) excess before March 1st following the calendar year in which the excess occurred.

If your plan is designed to allow for catch-up contributions, they are not taken into account for this limitation. The catch-up contribution for 2025 was \$7,500. The catch-up contribution is \$8,000 for 2026. Any participant who turns 50 or is over 50 years of age during the plan year can take advantage of this provision.

A plan may allow for higher catch-up contributions for participants age 60-63. For 2026, the catch-up limit for these participants is \$11,250.

ANNUAL ADDITION LIMITATION (415 CONTRIBUTION LIMIT)

The Annual Addition Limitation is the testing required for each employee who receives a contribution or allocation during the year. The employee and employer contributions and any forfeitures to be reallocated to participant for a plan year ending 2026 cannot exceed the lesser of \$72,000 or 100% of Section 415 Compensation. Section 415 Compensation is defined as total compensation earned. Section 401(k) salary deferrals, flexible spending account contributions and pre-tax insurance premiums are not deducted from the participant's compensation to perform this test. If you sponsor more than one qualified defined contribution plan, the combined contributions from all plans must be considered when testing the Annual Addition Limitation for each participant. All plans sponsored by you and administered by Mutual of America are included in the testing. (If your plan is designed to allow for catch-up contributions, they are not taken into account for this limitation.)

COMPENSATION LIMITATION

For purposes of allocating contributions and forfeitures and for discrimination testing, the Internal Revenue Service has issued compensation limits. For plan years beginning in 2025 the compensation limit per participant is \$350,000. This limit is \$360,000 for the 2026 plan year.